



DEPARTMENT OF REVENUE

Taxation Division

GASOLINE AND SPECIAL FUEL TAX

1 CCR 201-16

[Editor's Notes follow the text of the rules at the end of this CCR Document.]

Rule 39-27-102.5(2)(a). Biodiesel Used in Blending.

For purposes of §39-27-102.5(2)(a), C.R.S, biodiesel shall refer to the fuel known in the industry as B100.

Rule 39-27-103. Refunds of Gasoline and Special Fuel Tax.

(1) Definitions.

- (a) Account Percentage: a percentage assigned to a particular account, representing the proportion of taxable fuel used for purposes other than the operation of a motor vehicle upon the highways of this state.
- (b) Alternate-Jurisdiction Percentage: an exempt-use percentage used in another state.
- (c) Default Percentage: an exempt-use percentage to be assigned to new account-holders whose activities closely mirror that of the average industry participant.
- (d) Established Account Percentage: an exempt-use percentage previously assigned to an account by the Department of Revenue.
- (e) Industry-Group Proffered Standard: the percentage obtained from an industry association, or other disinterested party.
- (f) Industry Segment: a group of companies or businesses engaged in similar activities using similar vehicles and/or equipment.
- (g) Industry Segment Historical Average: a percentage derived from the historical, non-highway fuel usage of previously established accounts identified as being in the industry.
- (h) Refund Permit Account: an account established for an entity allowing it to claim refunds for exempt use of fuel.
- (i) Refundable Gallons: the account percentage multiplied by the gallons purchased and used for the period.

- (2) **Qualifying Fuel.** The gallons included in the percentage calculations, on the refund claims, and in all other aspects of the refund process under §39-27-103, C.R.S. can only be those upon which Colorado motor fuel excise tax was paid. Red-dyed diesel, fuel purchased in another jurisdiction, fuel purchased tax-exempt, and fuel used in vehicles licensed and plated for on-road use in Colorado do not qualify as exempt fuel.

(3) Establishing the Default Percentage for a Given Industry.

- (a) Based on the Department of Revenue's determination of the most reliable information, the default percentage shall be:
 - (i) The Industry Segment Historical Average;
 - (ii) An Industry-Group Proffered Standard; or
 - (iii) An Alternate-Jurisdiction Percentage.
- (b) The Department will calculate percentages of exempt and non-exempt fuel ("default percentages") for various industries. These percentages shall be used by the taxpayer unless the taxpayer demonstrates that a different percentage should apply. The denominator shall be the total amount of fuel used by the industry, excluding any International Fuel Tax Agreement ("IFTA") gallonage, and the numerator shall be the amount of tax paid fuel used by the industry that qualifies for a refund but that excludes any IFTA gallonage. Fuel used for idling or for powering air conditioning and electrical systems on a vehicle are on road uses and, therefore, are not included in the numerator. However, fuel used for a power take off unit mounted on a vehicle for the refrigeration of a trailer while the trailer is attached to the vehicle, for mixing on a truck hauling concrete, or for other similar uses shall be included in the numerator. This ratio is then multiplied by the total amount of fuel purchased, including both exempt and non-exempt fuel, but excludes IFTA gallons.
- (c) The Department of Revenue may update default percentages should it obtain information deemed to be more reliable.

(4) Assigning an Account Percentage to a New Account.

- (a) A default percentage shall be assigned to entities based on activities that closely mirror the average industry participant.
- (b) Otherwise:
 - (i) A weighted average of the relevant industry default percentages shall be assigned to entities whose activities span more than one industry.
 - (ii) Entities whose activities are not representative of established industry segments must provide documentation enabling the Department of Revenue to assign a percentage. Documentation must include information concerning actual use of fuel, equipment used, mileage over the road, miles per gallon, etc. This documentation must span one year of activity

(5) Documentation for an Industry-Group Proffered Standard.

- (a) Proposal documentation shall include:
 - (i) A definition of the segment;
 - (ii) An explanation of typical business operations for the segment;
 - (iii) Identification of the typical equipment used;

- (iv) Information concerning any seasonal or cyclical events that might affect the industry;
- (v) An explanation of the measuring method used. Information and testing results provided by a manufacturer may be considered;
- (vi) Fuel records and other data;
- (vii) Identification of the period of time involved in the study. To be valid, a period of study must span one year, as well as any relevant cyclical or seasonal patterns.

(6) Protests of the Assigned Percentage.

- (a) An applicant may file a protest with the Department of Revenue if the applicant disagrees with the assigned percentage. Supporting documentation must be included with any request for a change of percentage. Documentation must include sufficient information to support an alternative percentage. Documentation must include information concerning actual use of fuel, equipment used, mileage over the road, miles per gallon, etc. This documentation must span one year of activity
- (b) Subsequent appeal procedures will be handled under the provision of §39-21-104 C.R.S and §39-21-105 C.R.S.

(7) Audits of Accounts.

- (a) If the Department of Revenue, through the examination of records concerning actual use of fuel, equipment used, mileage over the road, miles per gallon, etc. of an established account holder, finds that the account has an incorrect percentage, the Department may adjust the percentage both retroactively and prospectively.
- (b) The new percentage shall be arrived at as if a new account were being established.
- (c) The Department may make assessments or issue refunds using a percentage other than the default percentage for any period open for assessment if the default percentage does not fairly reflect the amount of exempt use of fuel.

(8) Penalty.

- (a) The Department may suspend, cancel, revoke, or deny a refund permit in accordance with the Colorado Administrative Procedures Act (§24-4-104, C.R.S.).
- (b) A taxpayer cannot claim a refund of gasoline and special fuel taxes purchased during a period in which the taxpayer's refund permit was suspended, cancelled, revoked, or denied, even if the taxpayer is subsequently granted a new or reinstated permit. However, if the taxpayer's application for refund permit is denied for reasons other than making a false statement in the application (e.g., clerical errors) or if the permit is cancelled because no refund claim was submitted for twenty-four consecutive months, then the taxpayer is not prohibited from filing a refund claim for the period the application was denied or cancelled if the taxpayer is subsequently granted a permit and the claim is otherwise valid.

- (c) Applications for a permit or claims for a refund made in violation of statute shall be denied and, as a penalty, the amount so claimed shall also be deducted from any future claim for refund. For example, any applicant for refund who makes a false statement on an application for permit or credit for refund, or submits any invoices on which erasures, changes, alterations, or additions have been made, or that are otherwise incorrect shall be denied and the penalty described above shall be applied.
 - (d) The suspension of a refund permit shall be for a period not longer than one year. After the suspension period expires, the permit is automatically reinstated and taxpayer is not required to apply for a new refund permit.
 - (e) Except as provided for in (8)(b), a cancellation, revocation, or denial of a refund permit shall be effective for a period of one year after which the taxpayer may apply for a new permit pursuant to (8)(f), below.
 - (f) Any taxpayer whose refund permit was cancelled, revoked, or denied may apply for a new refund permit after the effective period of such cancellation, revocation, or denial has expired. The Department may impose conditions, limitations, and qualifications to the granting of a new refund permit as the Department determines, in the exercise of its discretion, are necessary to ensure the proper administration of taxes. However, if a permit was cancelled because taxpayer had not filed a refund claim for twenty-four consecutive months or if an application was denied as a result of clerical errors, then taxpayer can apply for a new permit at any time.
- (9) **Change in Business Operations by an Established Account Holder.**
- (a) Entities whose business operations change, in such a manner that a refund issued under the previously-set percentage would be incorrect, must notify the Department of Revenue.
 - (b) The Department will require a new application.
 - (c) The new application will be processed, and the previously-held account shall be closed.
- (10) **Filing Quarterly Claims.**
- (a) Only one claim can be filed each calendar quarter. Missing gallons on a claim for refund cannot be resubmitted or amended to include those missing gallons if a claim was already filed in that calendar quarter. The missing gallons shall be claimed in a subsequent calendar quarter within twelve months of the date of purchase by including a copy of the prior quarter's claim and showing the missing fuel on such claim. Gallons claimed for refund must be submitted in a claim postmarked within twelve months of the date of purchase or the claim will be denied.
 - (b) Except in the case of a first time applicant for a permit, a taxpayer cannot file a claim for refund for any period unless taxpayer holds a refund permit at the time of filing the claim for refund. However, if the taxpayer's application for refund permit is denied for reasons other than making a false statement in the application (e.g., clerical errors) or if the permit is cancelled because no refund claim was submitted for twenty-four consecutive months, then the taxpayer is not prohibited from filing a refund claim for the period the application was denied or cancelled if the taxpayer is subsequently granted a permit and the claim is otherwise valid.

(11) Taxpayers Holding International Fuel Tax Agreement (IFTA) Licenses.

- (a) Taxpayers may separately file a claim for refund for nontaxable fuel used in Colorado in an IFTA-plated vehicle. Such a claim must demonstrate the actual amount of fuel used in Colorado in taxable and nontaxable applications. Taxpayers wishing to receive a refund on fuel placed in the ordinary fuel tank of a vehicle whose miles are reported on an IFTA return must obtain an account with the Department specifically for this purpose.
- (b) Taxpayers wishing to receive a refund on fuel placed in the ordinary fuel tank of a vehicle whose miles are reported on an IFTA return, and also receive a refund on fuel used in other equipment, must file two separate refund claims – one for IFTA gallons described in this paragraph (11), and one for non-IFTA gallons described in paragraphs (1) through (10) of this rule. Taxpayers must separate each reported activity.
- (c) Gallons used in an IFTA-plated vehicle are not eligible for a refund using the industry default percentage as defined in paragraphs (1) through (9) of this rule.
- (d) Out-of-state IFTA licensees holding an account upon which they shall receive a refund of fuel placed in the ordinary fuel tank of a vehicle whose miles are reported on an IFTA return must attach a copy of the corresponding IFTA return to each quarterly claim for refund.
- (e) For the purposes of this rule, the ordinary fuel tank of a vehicle is that which is drawn upon to propel the vehicle down the road.

(12) Invoice Record-Retention Requirements.

- (a) Invoices are the delivery tickets issued at the time of the sale and delivery. Billing invoices prepared subsequent to the sale and delivery of the fuel are not acceptable, unless accompanied by a delivery ticket. Invoices must be retained for a period of three years from the date of the purchase of the fuel or the date of the refund claim, whichever is later. These invoices must be available for audit or review upon request by the Department.
- (b) Invoices must show the following information:
 - (i) Dealer's name and address, and the address of the delivery;
 - (ii) Purchaser's name and address;
 - (iii) Correct date of sale and delivery, as to month, day, and year;
 - (iv) Bill of lading number, if applicable;
 - (v) Delivery ticket number;
 - (vi) Type and quantity of gasoline or special fuel sold;
- (vii) Price per gallon, total amount of Colorado tax, and total amount paid.

Editor's Notes

History

Regulations 39-27-102.5(2)(a), 39-27-103 eff. 03/02/2011.

Regulation 39-27-103 eff. 02/14/2015.

Regulations 39-27-103 (10)(b)-(11) eff. 06/14/2016.